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Deep Research Report on the Big Three Canadian Life Insurers for Long-Term Investors

Manulife Financial (TSX/NYSE: MFC), Sun Life Financial (TSX/NYSE: SLF), Great-West Lifeco (TSX: GWO)

Executive summary

Manulife, Sun Life, and Great-West Lifeco are Canada's "Big Three" life insurers by market stature, with globally diversified earnings streams and balance sheets dominated by long-duration insurance/investment contract liabilities and large general-account investment portfolios. Their long-term investment cases hinge on (a) disciplined capital management under OSFI's LICAT regime, (b) credit and market risk management across very large fixed-income books, and (c) the durability and transparency of private-market/alternative asset exposures that can be less liquid and harder to value in stress.

Manulife stands out for explicitly disclosed "Alternative Long-Duration Assets" (ALDA) as a strategic allocation inside the general account: ALDA carrying value of **C$61.7B** (about **13.4%** of general-fund invested assets), including meaningful **private equity (~C$18.5B)** and **infrastructure (~C$18.6B)** exposures. [1] This is a differentiator for long-term returns, but it also concentrates valuation-lag and private-market cycle risk; Manulife itself warns that large/rapid market changes can take time to be fully reflected in private valuations and that real estate appraisals may lag transactions. [2]

Sun Life's balance sheet is smaller, with invested assets of **C$199.2B** and a high disclosed group LICAT ratio (**157%** at SLF Inc.). [3] Its "alternatives" footprint is visible but less neatly labeled than Manulife's: it holds **investment properties (C$9.4B)** and **other financial invested assets (C$14.4B)** (including mutual funds/limited partnerships and consolidated CLO structures), plus **associates/JVs (C$1.7B)**. [4] A key disclosure for "hidden leverage" is Sun Life's CLO structure: assets of **C$6.2B** with liabilities of **C$5.8B**, while its maximum contractual loss exposure is stated as **C$291M** in the most subordinated tranche. [5]

Great-West Lifeco is the largest by total assets among the three and reports a **LICAT ratio of 128%** (based on the consolidated results of its major Canadian operating subsidiary, The Canada Life Assurance Company) and **holding-company cash of C$2.1B** at year-end 2025, while continuing sizeable share repurchases and raising its quarterly dividend by 10%. [6] Portfolio investment disclosures in its Q3 2025 report show a traditional "big insurer" mix of **bonds (C$171.5B)**, **mortgage loans (C$38.1B)**, **stocks (C$20.9B)** and **investment properties (C$8.1B)**. [7] Compared with Manulife, Great-West's filings provide less explicit line-item separation of private equity/infrastructure; private equity exposure is present but nested within broader "stocks" (including distributions from private equity funds). [8]

Across all three, LICAT is the central capital constraint and differs meaningfully from bank capital rules: LICAT is an insurer-specific risk-based framework with "core" and "total" ratios, and OSFI sets minimums (**90% total / 55% core**) and supervisory targets (**100% total / 70% core**). [9] In contrast, banks are governed by Basel-based CET1 and other capital ratios, systemic buffers (e.g., OSFI's Domestic Stability Buffer for D-SIBs), and explicit bail-in resolution regimes under CDIC for large banks. [10]

Sources, scope, and methodology

This report prioritizes primary, company-published filings and OSFI guidance current as of late February 2026. Key primary documents include Manulife's 2025 audited consolidated financial statements and 2025 MD&A/SIP, Sun Life's 2025 consolidated financial statements and Q4 2025 earnings package (including supplementary SFI), and Great-West Lifeco's Q4 2025 earnings release plus its Q3 2025 quarterly report to shareholders (used for richer portfolio detail where the Q4 2025 "report to shareholders" was not practically accessible via the same indexed document set). [11] OSFI's LICAT framework and capital level thresholds are sourced from OSFI guidance. [12]

Portfolio-category mapping note: insurers do not disclose invested assets in a standardized schema matching the user's requested buckets (e.g., "infrastructure" or "hedge funds") across all three. Where a requested bucket is not explicitly disclosed, this report maps to the nearest disclosed line item (e.g., Sun Life "other financial invested assets" as a proxy for fund/limited partnership alternatives) and flags limitations.

Primary document links (as requested) are provided at the end in a code block.

Cross-firm comparison and portfolio mapping

Balance sheet and capital snapshot

All amounts in **C$ millions** unless stated otherwise.

Metric (latest available)	Manulife (MFC)	Sun Life (SLF)	Great-West Lifeco (GWO)
Balance sheet date used	Dec 31, 2025 [13]	Dec 31, 2025 [14]	Dec 31, 2025 (assets/ equity from earnings release) [15]
Total assets	**1,025,433** [16]	**398,455** [17]	**862,828** [15]
Total liabilities	**972,945** [13]	**372,963** [18]	**~829,825** (derived = assets − equity) [15]
Total equity	**52,488** [13]	**25,492** [19]	**33,003** [15]
LICAT ratio (group / key Canadian entity)	MLI: **136%**; MFC: **125%** [20]	SLF Inc: **157%**; Sun Life Assurance: **140%** [21]	Canada Life Assurance (consolidated): **128%** [6]
Financial leverage ratio (as disclosed)	Not in the balance sheet snapshot; LICAT bridge mentions senior debt differences [20]	**23.5%** [21]	Leverage ratio **28%** (earnings release) [22]

Simple bar chart of private/alternative exposure percentages

The “alternative exposure %” below is based on the most directly disclosed proxy for each company (not perfectly apples-to-apples):
Manulife: ALDA % of general fund invested assets. [23]
Sun Life: (investment properties + other financial invested assets + other non-financial invested assets) ÷ invested assets. [24]
Great-West: (mortgage loans + investment properties + equity-method holdings) ÷ portfolio investments (Q3 2025), as a proxy for less-liquid/private-market exposure (note: includes mortgages and “equity method,” which is not identical to private equity). [8]

```
xychart-beta
  title "Private/Alternative Exposure (proxy) as % of Invested Assets"
  x-axis ["Manulife (ALDA %)", "Sun Life (Real assets+Funds %)", "Great-West
(Private-ish proxy %)"]
  y-axis "Percent" 0 --> 25
  bar [13.4, 12.8, 19.8]
```

Manulife Financial long-term investor analysis

Executive summary (Manulife)
Manulife combines a very large invested-asset base with an explicitly articulated ALDA strategy; this can support long-term spread/return targets but also creates higher exposure to private-market valuation cycles, appraisal lags, and liquidity frictions versus a traditional public fixed-income-heavy insurer. Year-end 2025 shows a very large consolidated balance sheet (**C$1.03T assets**) with **C$52.5B equity**. [16] Capital is solid with **MLI LICAT 136%** and **MFC LICAT 125%**, with 2025 movements influenced by dividends/buybacks, the Comvest acquisition, segregated-fund capital requirement changes effective Jan 1 2025, and reinsurance transactions. [25]

Latest balance sheet snapshot

Manulife consolidated statement of financial position at **Dec 31, 2025**:
Total assets **C$1,025,433M**, total liabilities **C$972,945M**, total equity **C$52,488M**. [26]

Investment portfolio breakdown and mapping to requested categories

Manulife discloses general fund invested assets and detailed ALDA components.

General fund invested assets total: C$459.9B (carrying value) at Dec 31, 2025. [27]

ALDA: carrying value **C$61.711B**, **13.4%** of invested assets (fair value **C$62.945B**). [1]

Manulife’s invested-assets “portfolio composition” disclosure (general fund, carrying value) provides granular line items for public equities and ALDA components. [1] Mapping to the requested buckets:

Requested bucket	Manulife disclosed proxy (Dec 31, 2025 unless noted)	Amount	Notes
Cash / short-term	Cash and short-term securities	26,703 [28]	General fund.
Government bonds	Government debt securities as % of total debt securities: **39%** [29]	(ratio only)	Manulife reports the government share as a percentage; the exact $ split requires combining with debt totals. [30]
Corporate bonds by rating buckets	Debt securities + private placements by credit quality	AAA 19.2; AA 63.0; A 102.4; BBB 70.0; BB 5.4; B & lower/unrated 5.9 (totals, C$B) [31]	Includes both debt securities and private placement debt; not purely "corporate bonds," but best available rating-bucket disclosure.
Private credit	Private placement debt + mortgages/ loans	(private placements: 51.8 in table above) [31]	"Private placement debt" is a strong proxy for private credit; mortgages are also private-credit-like.
Public equities	Total public equities	40,971 [23]	Explicitly disclosed as "Total public equities."
Private equity	Private equity (ALDA component)	18,466 [23]	Explicit ALDA line item.
Real estate (direct)	Total real estate (directly owned real estate)	12,682 [23]	"Directly Owned Real Estate." [23]
Real estate (funds/interests)	Real Estate Interests	4,202 [23]	Likely fund/JV interests; disclosed separately from direct real estate.
Infrastructure	Infrastructure	18,629 [23]	Explicit ALDA component.
Hedge funds	Not separately disclosed in the general fund table	—	Could be embedded in "various other ALDA"/fund interests; not broken out. [23]
Other alternatives	Timberland, farmland, energy, various other ALDA, leveraged leases	Timberland 4,031; Farmland 1,981; Energy 1,658; Various other ALDA 62; Leveraged leases 4,266 [23]	These are explicit private/ real-asset categories.

Private equity and alternatives exposure, valuation methods, leverage, and "PE contagion" risk

Magnitude and mix (quantified): Manulife's disclosed "private equity" line is **C$18.466B** (~**4.0%** of general fund invested assets) and is part of a broader ALDA bucket of **C$61.711B** (~**13.4%**). [23] A large ALDA allocation means the company has meaningful exposure to assets whose valuations often rely on appraisals, models, and fund-reported NAVs rather than continuous public-market pricing.

Valuation methods and valuation lag: Manulife explicitly notes that valuation changes in private investments can lag when market/economic changes are large and rapid, and that real estate valuations based on external appraisals may lag current transactions. [2] This is a key long-term risk factor: in a private-equity downturn, reported mark-to-market losses may appear later, potentially creating "surprise" earnings/capital volatility when appraisals and NAVs catch up.

Leverage: Manulife indicates its real estate portfolio has "very low leverage." [32] That mitigates forced-selling risk in a valuation shock, but does not eliminate valuation declines or liquidity constraints.

Contagion channels if private equity "collapses":
A severe private equity downturn would likely transmit through (a) direct private equity markdowns, (b) correlated markdowns in real estate and infrastructure, (c) widening private credit spreads and higher defaults (affecting private placements and leveraged companies), and (d) reduced fee-based earnings in wealth/asset management if AUM falls (a business-model channel distinct from balance-sheet marks). Manulife's disclosures highlight that ALDA includes commercial real estate, private equity, infrastructure, timber/agriculture, energy and other investments, underscoring multi-asset correlation risk in a broad "private markets" stress. [33]

Reinsurance arrangements and counterparties

Manulife uses reinsurance both as traditional risk transfer and as **block transactions**. In its 2025 MD&A it describes major reinsurance transactions with **Reinsurance Group of America (RGA)** (U.S. reinsurance transaction closed **Jan 1, 2025**; Canadian reinsurance transaction closed **Apr 1, 2024**) and with **Global Atlantic** (transaction closed **Feb 22, 2024**, effective **Jan 1, 2024**). [34]

Manulife also states it reinsures a portion of policies it sells and can require reinsurers to provide collateral to mitigate reinsurer credit risk, warning that reinsurer failure could reduce the reinsurance asset and negatively affect net income and capital (offset to the extent collateral is sufficient). [35]

Operationally, Manulife's segment description indicates "Corporate and Other" includes a **Property & Casualty (P&C) Reinsurance business** and a **run-off reinsurance operation**, meaning Manulife is not only a buyer of reinsurance but also has reinsurance underwriting exposure in that segment. [36]

Capital and solvency metrics, targets, and recent capital actions

LICAT: MLI LICAT **136%** (Dec 31, 2025; 137% prior year). MFC LICAT **125%** (Dec 31, 2025; 124% prior year). [20] Manulife explains that the MLI vs MFC ratio difference is largely due to senior debt at MFC that does not qualify as available capital at the holding company level but does qualify at MLI based on downstreaming form. [20]

Capital actions: The LICAT discussion attributes 2025 ratio movements to dividends and common share buybacks, the Comvest acquisition, and other factors (including reinsurance transaction impacts). [25] Manulife's Q4 2025 press release states it declared a **10.2%** common share dividend increase. [37]

Stress-test scenarios (simplified) and assumptions

These are intentionally simple "order-of-magnitude" estimates for long-term investors, not a substitute for internal models or OSFI stress testing. The goal is to translate disclosed exposures into potential equity/capital pressure. Key limitations: insurer assets often back insurance liabilities whose valuation may offset some asset marks; LICAT "available capital" is not equal to IFRS equity; and management actions (hedging, rebalancing, reinsurance, dividends/buybacks) would likely respond dynamically.

Scenario A: private equity markdown (30–50%)
Assumption: apply a direct markdown to the disclosed **private equity** line item (C$18.466B). [23]

Markdown	Implied loss (C$B)	Loss as % of Manulife equity (C$52.488B)	Loss as % of general fund invested assets (C$459.928B)
30%	5.54	10.6% [38]	1.2% [23]
40%	7.39	14.1% [38]	1.6% [23]
50%	9.23	17.6% [38]	2.0% [23]

Scenario B: "2008-style" credit shock
Assumption: apply stylized losses by rating bucket to Manulife's disclosed debt securities + private placements totals (C$265.9B) by credit quality: AAA 1%, AA 2%, A 3%, BBB 7%, BB 15%, B & lower/unrated 25%. [31] This produces a rough "credit-loss" magnitude of ~C$11.7B (pre-tax), which is large vs equity; in reality, much of the mark-to-market on assets backing liabilities can be offset, and credit losses are not the same as spread widening marks. Manulife's filings emphasize credit monitoring and rating agency inputs in its credit quality disclosure. [39]

Scenario C: sharp interest-rate drop
Qualitative expectation: a sharp risk-free rate decline tends to (a) raise the market value of fixed-income assets but (b) increase the present value of long-duration insurance liabilities; the net impact depends on hedging, ALM matching, product features, and OSFI scenario mechanics. Manulife's risk discussion explicitly highlights the importance of ALM and that embedded market risks include interest rates/spreads and equity/ALDA performance. [27]

Sun Life Financial long-term investor analysis

Executive summary (Sun Life)
Sun Life combines a high LICAT ratio at the holding company and a diversified earnings base (including MFS and SLC Management). Its invested assets are smaller than Manulife's but still substantial, with a high-quality fixed income book and visible exposures to investment properties and fund/limited partnership holdings. Sun Life's disclosures on CLO structures are particularly useful for understanding embedded leverage and loss limits. [40]

Latest balance sheet snapshot

Sun Life consolidated statement of financial position at **Dec 31, 2025**: total assets **C$398,455M**, total liabilities **C$372,963M**, total equity **C$25,492M**. [14]

Investment portfolio breakdown and mapping to requested categories

Sun Life discloses invested assets of **C$199,175M** at Dec 31, 2025. [17] Its supplementary package provides detailed breakdowns of debt securities by issuer type/sector and by investment rating (AAA/AA/A/BBB/BB+lower). [41]

Requested bucket	Sun Life disclosed proxy	Amount	Notes
Cash/short-term	Cash, cash equivalents and short-term securities (FVTPL)	14,841 [17]	This is the "measured at fair value" line; other short-term positions may exist elsewhere.
Government bonds	Total government issued/guaranteed debt securities	29,133 [42]	Combines Canadian federal/provincial/municipal, U.S. govt/agency, other foreign government.
Corporate bonds	Total corporate debt securities	42,288 [43]	Issuer/industry sector table.
Corporate bonds by rating buckets	Debt securities by investment rating	AAA 14,071; AA 18,606; A 32,873; BBB 19,186; BB & lower 882 [41]	This is a strong, explicit rating-bucket disclosure.
Asset-backed securities	Total asset-backed securities	14,197 [43]	Not requested explicitly, but material for credit structure risk.
Public equities	Equity securities	12,250 [44]	Reported as "equity securities."
Private equity	Not separately disclosed as its own line item	—	Exposure is likely embedded in limited partnerships and associates/JVs. [45]
Real estate (direct)	Investment properties	9,432 [46]	Explicit real estate holdings on balance sheet.
Real estate (funds)	Part of other financial invested assets / limited partnerships	(included in 14,374) [47]	Limited partnership valuations are based on NAV. [48]

Requested bucket	Sun Life disclosed proxy	Amount	Notes
Infrastructure	Not separately disclosed in invested-assets line items	—	May be embedded in limited partnerships/associates. [45]
Private credit	Corporate loans (and other loans within mortgages/loans)	Corporate loans 45,828 [49]	Mortgages and loans total 59,433. [44]
Hedge funds	Not separately disclosed	—	Potentially included in “mutual funds and limited partnerships.” [50]
Other alternatives	Other financial invested assets + associates/JVs	14,374 + 1,693 [47]	“Other financial invested assets include… mutual funds, and limited partnerships.” [50]

Private equity and alternatives exposure, valuation methods, leverage, and “PE contagion” risk

Quantified alternative exposure (proxy): Sun Life’s invested assets include **investment properties (C$9.432B)** and **other financial invested assets (C$14.374B)** plus **other non-financial invested assets (C$1.693B)** (associates/JVs), totaling **~C$25.5B**, or **~12.8%** of invested assets. [51] This is not strictly “private equity,” but captures the balance-sheet footprint most likely to contain private-market valuation and liquidity features.

Valuation methods: Sun Life’s note disclosures describe Level 3 assets as including investment properties and limited partnership investments (in other financial invested assets). Investment properties are appraised quarterly and externally at least once every three years, and a management committee reviews fairness; limited partnership fair values are based on NAV reported by partnership management, with Sun Life reviewing NAV reasonability. [52] These disclosures are directly relevant to “contagion” risk, because NAV/appraisal-based marks can lag public markets and can be sensitive to discount rate and cash flow revisions.

Embedded leverage via structured credit (CLOs): Sun Life discloses consolidated CLO exposures: **C$6.213B** of CLO assets and related CLO liabilities of **C$5.846B**, with maximum contractual loss exposure limited to **C$291M** (the most subordinated tranche) and net unrealized loss incurred to date of **C$120M**. [5] This disclosure is a good illustration of “look-through leverage”: large gross assets/liabilities can obscure that economic first-loss exposure may be much smaller.

Contagion channels if private equity “collapses”:
For Sun Life, private equity stress would most plausibly transmit through (a) limited partnership NAV markdowns within “other financial invested assets,” (b) declines and slower realizations in associates/JVs, and (c) second-order credit deterioration in corporate loans (private credit) if highly levered sponsors/borrowers struggle. Sun Life explicitly notes underlying loans in CLOs are mainly below investment grade—an example of how private-credit/levered-loan stress can ride along with broader private-market stress. [53]

Reinsurance arrangements and counterparties

Sun Life discloses **reinsurance contract held assets** and provides a rating/collateral split: gross exposure and collateral are disclosed, with net exposure concentrated in higher credit ratings (AA or A) and significant collateralization of lower-rated exposures. [54] This is useful for evaluating reinsurer credit risk as a tail event, but Sun Life's primary statements in this document set do not enumerate reinsurers by name.

Capital and solvency metrics, targets, and recent capital actions

LICAT: Sun Life reports **SLF Inc. LICAT 157%** (up 5 points YoY) and **Sun Life Assurance LICAT 140%** (down 6 points YoY), explicitly referencing OSFI's supervisory ratio (100%) and regulatory minimum (90%). [21]

Capital actions and capital stack: Sun Life discloses total capital of **C$48.4B** at Dec 31, 2025, composed of subordinated debt and other capital instruments, CSM, participating account equity, shareholders' equity and non-controlling interests. [55] It states that the increase in total capital included issuance of **C$1.0B Series 2025-1** and **C$1.0B Series 2025-2** subordinated debentures, while also paying **C$1.975B** in common dividends and executing **C$1.707B** of share repurchases/cancellations. [56]

Great-West Lifeco long-term investor analysis

Executive summary (Great-West Lifeco)
Great-West Lifeco combines large-scale retirement/wealth franchises (notably in the U.S.) with a reported reinsurance-focused segment ("Capital and Risk Solutions") and a very large insurance balance sheet. Year-end 2025 shows ongoing capital returns (buybacks and a 10% dividend bump) alongside strong reported capital ratios. Investment portfolio disclosures in the Q3 2025 report show a predominantly fixed-income portfolio (high investment grade quality), complemented by mortgage loans and direct real estate. [57]

Latest balance sheet snapshot

Great-West Lifeco's Q4 2025 earnings release provides "total assets per financial statements" of **C$862,828M** and "total equity per financial statements" of **C$33,003M** at **Dec 31, 2025**. [15] Total liabilities are therefore approximately **C$829,825M** (derived). [15]

For additional balance sheet granularity, its Q3 2025 quarterly report shows at **Sept 30, 2025** total liabilities **C$825,461M**, total equity **C$33,215M**, and total liabilities and equity **C$858,676M**. [58]

Investment portfolio breakdown and mapping to requested categories

Great-West's Q3 2025 report provides a clean breakdown of portfolio investments (carrying value) at Sept 30, 2025: **bonds C$171.482B**, **mortgage loans C$38.107B**, **stocks C$20.894B**, **investment properties C$8.149B**, total **C$238.632B**. [8]

It also discloses bond portfolio credit quality buckets (AAA/AA/A/BBB/BB-or-lower) for the **C$171.482B** bond portfolio. [59]

Mapping to requested categories (best available):

Requested bucket	Great-West disclosed proxy	Amount	Notes
Cash/short-term	"Liquid cash, cash equivalents and short-term bonds" (not purely cash)	16.5B (liquidity metric) [60]	Fair for liquidity discussion; not a balance-sheet "cash" line.
Government bonds	Government bonds (disclosed in portfolio table)	40,674 [61]	Presented alongside corporate bonds.
Corporate bonds by rating buckets	Bond portfolio quality table	AAA 25,362; AA 31,003; A 62,495; BBB 49,776; BB or lower 2,846 [59]	Applies to total bond portfolio (not only corporate).
Public equities	Part of "stocks"	20,894 [8]	Filings do not fully split public vs private; includes equity method and possibly private equity funds. [8]
Private equity	Embedded within "stocks" (distributions from private equity funds)	Not separately quantified [8]	Disclosure limitation.
Real estate (direct)	Investment properties	8,149 [8]	Direct real estate on balance sheet.
Infrastructure / hedge funds / other alts	Not separately disclosed in portfolio investments table	—	Could be nested in "stocks" or other holdings; not itemized here. [8]
Private credit	Mortgage loans	38,107 [8]	Includes loans/credit exposures; not identical to private credit funds but economically similar.

Private equity and alternatives exposure, valuation methods, leverage, and "PE contagion" risk

Quantification: Great-West's Q3 portfolio table shows direct real estate investment properties of **C$8.149B** and mortgage loans of **C$38.107B**, plus equity-method holdings within stocks (**C$1.069B**)—a combined **~C$47.3B** of "less-liquid/private-ish" exposures out of **C$238.6B** portfolio investments (~**19.8%**). [8] This proxy includes mortgages, which are not private equity, but captures a meaningful part of the book that can be less liquid, more model-valued, or more credit-sensitive than government bonds.

Valuation methods: Great-West describes Level 3 assets as including some private equities, investment properties and certain securities valued using broker quotes, internal models, or external appraisers—consistent with the general private-market valuation approach across insurers. [62]

Contagion risk if private equity collapses: The most direct channel would be markdowns in portions of the "stocks" portfolio that include private equity funds (explicitly referenced via distributions) and any equity-method holdings tied to market/valuation cycles. [8] Second-order channels could include credit deterioration in mortgage/loan books and spread-driven capital pressure. Great-West reports that bond portfolio quality remains high (98% investment grade; with disclosed A-or-higher shares), which mitigates but does not eliminate a 2008-style stress transmission. [63]

Reinsurance arrangements and whether Great-West operates reinsurance businesses

Great-West Lifeco explicitly reports a segment called **Capital and Risk Solutions (CRS)**, and its Q4 2025 press release attributes a LICAT ratio change partly to "organic reinvestment" in "Capital Solutions new business in CRS." [64] Its corporate description indicates it has interests in **reinsurance businesses**, and the Great-West Lifeco website notes that Canada Life provides **reinsurance solutions in the U.S.** [65]

Great-West's Q3 2025 report also references a specific reinsurance agreement tied to the transfer of a U.K. onshore bond business, transferring "risks and rewards" of the underlying business to a counterparty (Countrywide). [8] This is a concrete example of reinsurance being used as a transaction mechanism, not only as ongoing treaty protection.

Capital and solvency metrics, targets, and recent capital actions

LICAT: Great-West's Q4 2025 earnings release reports **LICAT ratio 128%** (Canada Life Assurance consolidated) and provides a short bridge noting it is down 2 points YoY due to capital solutions growth and participating insurance capital requirements. [6]

Capital actions: The same release states: **10% dividend increase** to **C$0.67** per common share, **C$1.6B** of share repurchases during 2025, and leverage ratio **28%** at Dec 31, 2025. [66] Separately, Great-West's Q3 2025 report indicates **13.29M** shares repurchased and cancelled in the first nine months of 2025 at a cost of **C$696M**. [60]

Regulatory capital framework and stress-testing results

How OSFI's LICAT and MCT differ from bank capital rules

Insurers (LICAT/MCT):
OSFI's capital guidelines define (a) "capital resources" and (b) "capital requirement" amounts; for life insurers under LICAT, the capital requirement is referred to as the **Base Solvency Buffer**, and capital resources are "Available Capital + Surplus Allowance + Eligible Deposits" (Total) and "Tier 1 + 70% of SA + 70% of ED" (Core). [9] OSFI sets regulatory minimum and supervisory target levels for LICAT of **90% total / 55% core** minimums and **100% total / 70% core** supervisory targets. [9] OSFI also expects insurers to set internal capital targets above supervisory targets via ORSA. [67]

Banks (Basel-based):
OSFI publishes the **Capital Adequacy Requirements (CAR) Guideline** for banks (Basel-aligned), which focuses on capital definitions (CET1/Tier 1/Total) and risk-weighted assets for credit, market, operational and other risks. [68] In addition, banks are subject to systemic buffers such as OSFI's **Domestic Stability Buffer** for Canadian D-SIBs (maintained at **3.5%** as of Dec 2025), which directly increases required CET1

targets for systemic banks. [69] Basel III also layers multiple buffers on top of minimum CET1 requirements (e.g., capital conservation buffer, countercyclical buffer, systemic buffers). [70]

Liquidity, leverage, and resolution regime differences:
While both sectors face liquidity and leverage scrutiny, large banks have a particularly explicit statutory resolution/bail-in regime administered by **CDIC** for "resolution of large banks," including bail-in and restructuring powers for D-SIBs. [71] For insurers, LICAT emphasizes capital adequacy for long-duration policyholder and creditor protection and explicitly distinguishes "core" vs "total" ratio purposes. [72]

Cross-firm stress-test scenarios (simplified, transparent assumptions)

Below is a common set of toy shocks to translate disclosed portfolio exposures into rough equity/capital sensitivity. These are **not** company-provided stress outcomes and should be interpreted as "maximum plausible pressure" under simplifying assumptions.

Common assumptions used for the simple quantitative tables - Loss impacts are assumed to reduce IFRS equity dollar-for-dollar (no hedging offsets, no liability valuation offsets, no dividends/buybacks changes, no management actions). This is conservative and likely overstates actual net impact for assets backing liabilities.
- For "capital ratio" illustration, a *proxy ratio impact* is shown using **(equity ÷ equity-based required capital proxy)** where required capital proxy is inferred from LICAT and equity (this is not LICAT math, but a readable heuristic).
- For Manulife and Great-West, private equity is clearly quantified only for Manulife; Great-West does not separately quantify private equity in the same way. [73]

Scenario A: Private equity valuation shock (30–50% markdown)

- **Manulife:** markdown applied to disclosed "private equity" line (C$18.466B). [23]
- **Sun Life:** proxy markdown applied to "other financial invested assets excluding CLOs" (C$8.161B) plus "other non-financial invested assets" (C$1.693B), representing the portions most plausibly "private equity / private NAV" exposed in disclosures. [74]
- **Great-West:** no direct private equity line item; we show only a *qualitative* assessment and do not force a precise markdown onto a non-comparable label. [8]

Company	PE / private-NAV proxy base (C$B)	30% markdown loss	50% markdown loss	Loss as % of equity (approx)
Manulife	18.466 [23]	5.54	9.23	10.6% – 17.6% [13]
Sun Life	8.161 + 1.693 = 9.854 [74]	2.96	4.93	11.6% – 19.3% [18]
Great-West	Not separately disclosed [8]	—	—	—

Scenario B: “2008-style” credit shock (stylized rating haircuts)

This scenario applies stylized losses to disclosed bond rating buckets (meant to proxy a combination of downgrades, defaults, and credit-spread shock).

- **Manulife:** applies to debt securities + private placements by credit quality totals (C$265.9B). [31]
- **Sun Life:** applies to debt securities by investment rating totals (C$85.618B). [41]
- **Great-West:** applies to bond portfolio quality totals (C$171.482B). [59]

Haircuts: AAA 1%, AA 2%, A 3%, BBB 7%, BB & lower 15% (and for Manulife’s “B & lower/unrated,” 25% in the earlier illustrative discussion).

Company	Credit book basis (C$B)	Disclosed rating buckets available?	Stylized loss (order of magnitude)	Loss as % of equity (approx)
Manulife	265.9 [31]	Yes (AAA → B&lower) [31]	~11.7B (illustrative)	~22% [13]
Sun Life	85.618 [41]	Yes (AAA → BB & lower) [49]	~3.2B (illustrative)	~13% [18]
Great-West	171.482 [59]	Yes (AAA → BB or lower) [75]	~6.7B (illustrative)	~20% [15]

Interpretation: these stylized losses can look very large versus IFRS equity because (a) fixed income books are enormous, (b) not all spread moves become permanent losses, and (c) insurers’ liabilities often economically offset part of spread/interest-rate shocks when assets are backing liabilities (ALM). Still, they indicate why **credit risk** is the dominant tail risk channel for life insurers and why LICAT is structured around multiple risk components. [72]

Scenario C: Sharp interest-rate drop

A sharp rate drop is primarily an **ALM mismatch** and **new money yield** problem:

- Insurers often face reinvestment risk when yields fall, particularly for products with guarantees; profitability pressure can surface gradually through lower net investment income and lower spreads on new business.
- Accounting and regulatory capital effects can be directionally ambiguous because asset values rise when rates fall, but insurance liabilities also increase (discount-rate sensitivity), and hedging strategies may offset. OSFI notes LICAT ratios should not be used in isolation and reflect both financial strength under stress and policyholder protection during wind-up. [76]
- Manulife explicitly frames interest rate/spread movements as core embedded market risks managed via its ALM strategy. [27]

Investment implications and risk mitigants for a long-term investor

A long-term investor studying these names should assess them less like “simple financial stocks” and more like **risk-managed spread businesses** with (a) capital return capacity constrained by LICAT/internal targets, (b) large fixed-income and credit exposures, and (c) varying degrees of private-market tilt.

Manulife’s ALDA strategy is the most transparent and material: its disclosures provide a relatively clear way to monitor private equity, infrastructure and direct real estate exposure (with amounts and percentages). [1] The upside is long-run return enhancement and diversification; the downside is greater exposure to valuation lag and private-market cycle contagion—risks Manulife explicitly acknowledges (lagged valuation impacts, appraisal lag). [2] For a long-term investor, the key is whether ALDA returns (net of defaults and impairments) sustainably exceed public fixed-income returns without creating capital “surprise” in stress years.

Sun Life appears “capital-strong” on LICAT and has a well-documented capital/ leverage framework, with sizeable 2025 capital returns (dividends and buybacks) alongside debt issuance. [77] Its alternative exposure is present but more embedded, so model risk shifts to understanding what sits inside “other financial invested assets” and associates/JVs. [45] A risk mitigant is the clarity around certain structured exposures (CLOs)—Sun Life’s maximum loss and tranche positioning disclosure is unusually helpful. [5]

Great-West Lifeco’s filings highlight sustained capital returns (buybacks and dividend growth) and solid capital buffers, but also a sizable and traditional insurer investment book. [78] Its reinsurance/“capital solutions” business line (CRS) can be both an earnings driver and a capital absorber when new business grows, which the company itself cites as a driver of LICAT movement. [64] For long-term investors, the key is how prudently CRS growth is financed (capital intensity, retrocession strategy, pricing discipline) and how the broader group manages credit and interest-rate cycle risks.

Mermaid timeline of recent capital actions and major moves

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timeline
  title Capital actions & notable transactions (2024–Feb 2026)
  2024 : Manulife - Global Atlantic reinsurance transaction closed (effective Jan 1, 2024) and RGA Canada reinsurance transaction closed Apr 1, 2024 [34]
  2025 : Manulife - RGA U.S. reinsurance transaction closed Jan 1, 2025; ALDA disclosed at 13.4% of invested assets [79]
  2025 : Sun Life - Issued C$1.0B Series 2025-1 and C$1.0B Series 2025-2 subordinated debentures; executed C$1.707B share repurchases and paid C$1.975B dividends (2025) [56]
  2025 : Great-West - Repurchased and cancelled 13.29M shares for C$696M in first 9M 2025 [60]
  2026-02-11 : Manulife - Declared 10.2% common dividend increase with Q4 2025 results [37]
  2026-02-11 : Great-West - Increased quarterly dividend 10% to C$0.67; reported LICAT 128% and 2025 share repurchases of C$1.6B [66]
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https://www.osfi-bsif.gc.ca/en/guidance/guidance-library/regulatory-capital-
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OSFI – Life Insurance Capital Adequacy Test (LICAT) Guideline (2025)
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https://www.osfi-bsif.gc.ca/en/guidance/guidance-library/capital-adequacy-
requirements-car-guideline-2026

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Manulife – 2025 audited consolidated financial statements (Q4 2025 CFS)
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Great-West Lifeco – Q3 2025 Quarterly report to shareholders
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